

Canaries in the Coal Mine? Six Facts about the Recent Employment Effects of Artificial Intelligence

Erik Brynjolfsson* Bharat Chandar† Ruyu Chen‡§¶

August 26, 2025

Abstract

This paper examines changes in the labor market for occupations exposed to generative artificial intelligence using high-frequency administrative data from the largest payroll software provider in the United States. We present six facts that characterize these shifts. We find that since the widespread adoption of generative AI, early-career workers (ages 22-25) in the most AI-exposed occupations have experienced a 13 percent relative decline in employment even after controlling for firm-level shocks. In contrast, employment for workers in less exposed fields and more experienced workers in the same occupations has remained stable or continued to grow. We also find that adjustments occur primarily through employment rather than compensation. Furthermore, employment declines are concentrated in occupations where AI is more likely to *automate*, rather than *augment*, human labor. Our results are robust to alternative explanations, such as excluding technology-related firms and excluding occupations amenable to remote work. These six facts provide early, large-scale evidence consistent with the hypothesis that the AI revolution is beginning to have a significant and disproportionate impact on entry-level workers in the American labor market.

*Stanford University and NBER; erikb@stanford.edu

†Stanford University; chandarb@stanford.edu

‡Stanford University; ruyuchen@stanford.edu

§Thanks to Nick Bloom, Joshua Gans, David Autor, Daniel Rock, Fei-Fei Li, Frank Li, Christina Langer, Sarah Bana, Cody Cook, Chris Forman, Andrew Wang, Brad Ross, Omeed Maghzian, Basil Halperin, Jiaxin Pei, Phil Trammell, Eric Bergman and participants at the Stanford Digital Economy Lab workshop for helpful feedback. We are grateful to ADP for access to the data and the Stanford Digital Economy Lab for financial support. All errors are our own.

¶Latest version: <https://digitaleconomy.stanford.edu/publications/canaries-in-the-coal-mine/>

1 Introduction

The proliferation of generative artificial intelligence (AI) has sparked a global debate about its potential impact on the labor market. This discourse, across academia, public policy, business, and popular media, spans utopian predictions of enhanced productivity, dystopian fears of widespread job displacement, and skeptical views that AI will have minimal effects on employment or productivity. Historically, technologies have affected different tasks, occupations, and industries in different ways, replacing work in some, augmenting others, and transforming still others. These heterogeneous effects suggest that there may be “canaries in the coal mine” which are harbingers of more widespread effects of AI.

There have been rapid improvements in AI capabilities in several areas. For instance, according to the most recent AI Index Report, AI systems could solve just 4.4% of coding problems on SWE-Bench, a widely used benchmark for software engineering, in 2023, but performance increased to 71.7% in 2024 (Maslej et al., 2025).¹ AI has improved on other benchmarks as well including language understanding, subject knowledge, and reasoning. At the same time, AI systems are increasingly widely adopted. According to Hartley et al. (2025), LLM adoption at work among U.S. survey respondents above age 18 reached 46% by June/July 2025.²

Given the better capabilities and widespread adoption, a central concern, amplified in recent headlines, is whether AI is beginning to supplant human labor, particularly for younger, entry-level workers in highly exposed professions like software engineering and customer service.³

Despite the intensity of this debate, empirical evidence has struggled to keep pace with technological advancement, leaving many fundamental questions unanswered. This paper confronts this empirical gap by leveraging a large-scale, high-frequency administrative dataset from ADP, the largest payroll software provider in the United States. Our sample consists of monthly, individual-level payroll records through July 2025, encompassing millions of workers across tens of thousands of firms. This rich panel structure allows us to track employment dynamics with a high degree of

¹SWE-bench is designed to evaluate the performance of large language models (LLMs) on real-world software engineering tasks. It uses a collection of GitHub issues to assess an LLM’s ability to generate code that resolves those issues.

²Similarly, Bick et al. (2024) found that in late 2024, nearly 40% of the U.S. population age 18-64 reported using generative AI, with 23% of employed respondents saying they had used generative AI for work at least once in the previous week, and 9% every work day.

³Improved productivity of workers in an occupation could lead to either reduced or increased employment, depending on, among other things, how elastic demand is for the output of those workers.